Marvell Technology, Inc.

MRVL NASDAQ

Buy	$184.79 ▼ 4.86%	12M Price Target **$235.00**	52-Week Range $61.44 – $329.88	Market Cap $165.85B

MRVL: AI Circular Financing Fears Trigger Chip Selloff

WHAT HAPPENED

- MRVL got hammered down almost 5% on relatively low volume (~9.7M vs. usual 16-22M), and it's not a company-specific story — it's the whole AI chip complex reacting to that Bloomberg piece on Nvidia's $750B in deals reviving fears of "circular AI financing" (meaning: chip companies are basically funding their own customers, who then use that money to buy chips back — a loop that looks like real demand until it isn't).
- The selloff is happening while broader sectors (Comm Services, Staples, Financials) are all UP 2%+ — so this is a targeted rotation OUT of AI semis, not a market-wide risk-off day. That's important: money is leaving your specific corner.

WHY IT MATTERS

The circular-financing narrative is the biggest new risk to the AI trade since it started, and MRVL is guilty by association even though its custom silicon (ASIC) business with Amazon and Microsoft is arguably more "real" than merchant GPU sales. Here's the inference: if institutional investors start questioning whether hyperscaler AI capex is sustainable, MRVL's multiple compresses first because it's already trading at premium AI valuations without Nvidia's dominance. BUT — and this matters — the unusual call buying at $185, $192.50, and even $240 strikes tells you somebody with real money thinks this dip gets bought quickly. The low volume on today's drop also suggests forced selling isn't happening; this is fear-driven, not fundamental.

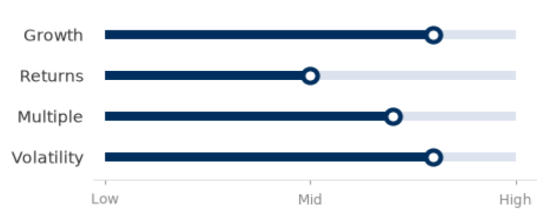
POLICY & POLITICAL WATCH

The big overhang is US-China chip export controls — the Commerce Department has been tightening rules on advanced chips going to China, and MRVL derives roughly 40%+ of revenue from China historically (though a lot of that is now non-AI networking). Watch for any Trump administration announcement on expanded export restrictions or, conversely, a trade-deal thaw that could unlock Chinese demand. Also on the radar: the CHIPS Act funding disbursements continue flowing to domestic fabs, which indirectly benefits fabless designers like MRVL that need reliable US-based manufacturing capacity from TSMC's Arizona plants coming online.

IS IT EXPENSIVE?

Key Data	
Price (USD)	**$184.79**
12M Price Target	**$235.00**
Upside / (Downside)	**+27.2%**
Market Cap	**$165.85B**
FY2027E Revenue	**$8,200M**
FY2028E Revenue	**$10,500M**
FY2027E EPS	**$2.85**
FY2028E EPS	**$3.90**
Fwd P/E	**64.8x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500

MRVL — Marvell Technology, Inc. | July 27, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$210.00**	$190.00	**$165.00**
6 Months	**$260.00**	$220.00	**$155.00**
1 Year	**$310.00**	$235.00	**$145.00**
2 Years	**$400.00**	$290.00	**$130.00**
5 Years	**$550.00**	$380.00	**$120.00**
10 Years	**$800.00**	$500.00	**$100.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Communication Services (+2.88%), Consumer Staples (+2.62%), Financials (+2.01%) — this is a classic defensive rotation with Financials benefiting from steepening yield curves. Money is leaving high-beta growth and parking in dividend payers and rate-sensitive names.

COOLING OFF: AI semiconductors broadly — the whole complex (MRVL, Lattice, Allegro, Monolithic, MACOM per the StockStory piece) got hit last week, suggesting this is sector-level de-risking, not company-specific.

ROTATION WATCH: Classic "sell what's worked, buy what hasn't" behavior — investors are trimming AI winners after a huge run and rotating into laggards. This usually creates a 2-4 week pullback before the leaders reassert themselves, assuming fundamentals hold.

RELATED PLAY: If you believe the AI thesis is intact, the picks-and-shovels play is TSMC (TSM) — they manufacture chips for everyone including MRVL, so they win regardless of who wins the custom silicon war. Alternatively, ASML for the equipment angle.

WHO'S WINNING IN THIS SPACE?

- AVGO (Broadcom): The Trefis piece frames Broadcom as "the market you already own, amplified" — meaning it's become a mega-cap AI proxy that institutional investors are using as a lower-risk MRVL alternative.
- NVDA (Nvidia): Still the reference point for AI silicon, though the $750B deals headline is now cutting both ways — bullish for scale, bearish for concentration risk.

MRVL CONTEXT: MRVL is lagging Broadcom badly this year — investors are consolidating custom silicon bets into AVGO rather than spreading across multiple names. That's the near-term headwind, but it also means MRVL has more room to snap back if it delivers on the next earnings. Being the "underdog custom silicon play" isn't a bad position if the sector broadly works.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

Position Size: 3-5% of portfolio

Entry Points: $175-185 on continued weakness

Time Horizon: 12-24 months

Thesis Invalidation: Loss of Amazon Trainium custom silicon program or major China export ban expansion

Hedging: Buy protective puts or pair with a short in a pure-play AI name trading at higher multiples